

Portfolio Strategy Review: Inflation & AI-Concentration Risk

ETF portfolio £1.095m · Objective: long-term real wealth growth · Drawdown tolerance: high (c.£80k p.a. net pension covers spending) · 25 Sep 2026

1. Current portfolio: what you actually own

• **100% equity, ~98% developed markets, blended fee ~0.22%.** Fees are not the problem; concentration is. • **VWRP (47%) and SWDA (23%) overlap ~90%+:** SWDA is essentially VWRP minus EM and small caps, so 70% of the portfolio is one cap-weighted global bet. • **Look-through US exposure ≈ 59%,** with ~46% in cap-weighted US where the ten largest (mostly AI/mega-cap tech) are roughly a third of the index; portfolio-level top-10 exposure is ~16%. EM is under-weight at ~5% (vs ~10% in VWRP alone). • **XWIS (18%) is a large sector bet.** Industrials are an inflation-resilient, pricing-power cyclical, but they are also an *AI-capex* trade (electrification, data-centre build-out, grid) — it diversifies away from tech multiples but not fully away from the AI cycle. • The value/dividend/Europe sleeves (TDGB, IEFV, IWFV, IEFM, XWFS = 11.5%) point the right way but are too small and fragmented (5 lines) to matter; IEFM (momentum) partly offsets IEFV (value).

2. The two risks and how they transmit

Sticky inflation / fiscal dominance: high deficits and debt levels raise the odds of inflation settling above 2–3%. Equities are a real asset over decades, but long-duration growth stocks priced at high multiples are most hurt when discount rates rise; value, financials, energy/materials, industrials and pricing-power dividend payers historically hold up better. Nominal bonds are the worst place to be — you do not need them (your pension is your bond). **AI bubble:** the risk is not that AI fails but that *expectations embedded in prices* are too high (cf. 2000: the internet won, the Nasdaq still took 15 years to recover). Cap-weighting mechanically increases exposure to whatever has risen most. The hedge is valuation discipline, not market timing.

3. Strategy options & opportunity cost

Option	Tickers (LSE, check GBP/acc line)	Case for	Opportunity cost / risk
A. Stay the course / simplify	VWRP only (fold SWDA in)	Lowest regret if US/AI leadership continues; cheapest, simplest.	Full exposure to AI de-rating and US valuation risk; no inflation tilt.
B. Equal-weight US	XDEW (Xtrackers) or EWSP (iShares) S&P 500 EW	Same 500 companies, top-10 weight falls from ~35–40% to ~2%; tilts to value and mid-caps.	Lagged cap-weight by ~2–5% p.a. in mega-cap-led years; higher turnover; ~0.20% fee.
C. Value / small-cap value	IWFV (world value), AVWS (Avantis global SCV), IEFV	Largest historic premium; cheapest valuations; best inflation record; offsets growth concentration.	Can lag for a decade (2010–20); tracking-error regret is the real cost.
D. Ex-USA / EM	EXUS (World ex-USA), EMIM or VFEG (EM)	Forward P/Es ~13–15x vs ~22x+ US; higher dividend yields; USD-weakness tailwind for a GBP investor.	Structurally lower earnings growth; if US exceptionalism persists, persistent drag.
E. Real-asset hedge	IGLN (physical gold); INXG (index-linked gilts)	Direct inflation/fiscal hedge; gold uncorrelated with equity multiples.	Zero or low real yield; long-run drag vs equities of ~3–5% p.a. on the sleeve.

Illustrative 10-year outcomes (real £m, today's money, from £1.095m; assumed real returns by bucket — scenario tools, not forecasts)

Portfolio	US look-through	AI boom continues	Base case	AI de-rating	Stagflation	Cost vs current if AI boom
Current	59%	£2.03m (6.4%)	£1.78m (5.0%)	£1.56m (3.6%)	£1.41m (2.6%)	—
A. VWRP only	62%	£2.13m (6.9%)	£1.76m (4.9%)	£1.46m (3.0%)	£1.36m (2.2%)	+£0.10m
Balanced (recommended)	49%	£1.89m (5.6%)	£1.77m (4.9%)	£1.67m (4.3%)	£1.46m (2.9%)	–£0.14m
Defensive tilt	38%	£1.78m (5.0%)	£1.76m (4.9%)	£1.76m (4.9%)	£1.51m (3.2%)	–£0.25m

Real returns p.a. assumed — AI boom: US cap-wtd 8%, US value/EW 5%, ex-US 5%, EM 5%, gold 1%. Base: 4.5/5/5.5/5.5/1.5. De-rating: 1/5/6/6.5/3. Stagflation: 1.5/3.5/3.5/3/4. **Read-across:** the Balanced mix gives up ~£140k (≈0.7% p.a.) if the AI boom runs another decade, but gains ~£110k in a de-rating and ~£50k in stagflation, and is near-identical in the base case. It narrows the range of outcomes (£1.46–1.89m vs £1.41–2.03m) at little expected cost. Each 1% p.a. of return is worth ~£0.7m over 20 years, so avoid over-hedging.

4. Recommendation: Balanced diversifier (still 95% equity)

Sleeve	Ticker	Target	Change vs today
Global core	VWRP	45%	–2% · absorb SWDA (sell 23%) — removes duplication
Developed ex-USA	EXUS	15%	New · replaces IEFV/IEFM/TDGB fragments
Emerging markets	EMIM / VFEG	5%	New · lifts EM to ~10% look-through
US equal-weight	XDEW / EWSP	10%	New · US exposure without mega-cap concentration
Global value + small-cap value	IWFV 7%, AVWS 8%	15%	IWFV up from 1.9%; AVWS new
Industrials	XWIS	5%	–13% · keep a cyclical/inflation tilt, trim AI-capex concentration
Gold	IGLN	5%	New · fiscal/inflation hedge; rebalance source in a crash

Why not further? With pension income covering living costs your *risk capacity* is unusually high — you can hold 100% equity and ignore volatility. The right hedge is therefore against *permanent* loss of real value (buying overpriced assets, inflation), not against drawdowns: diversify by valuation and geography, not into bonds. **Implementation:** (1) Inside ISA/SIPP, switch in one go — no tax cost. (2) In a GIA, gains above the £3,000 CGT allowance are taxed at 18%/24%: redirect new contributions first, use annual allowances and Bed-and-ISA, and only realise gains where the concentration reduction justifies the tax. (3) Phase over 3–6 months if you want to limit timing regret. (4) Rebalance annually or when a sleeve drifts ±5pp; the rule is what harvests the value/ex-US premium. (5) Reduce to 7–8 ETF lines total.

Not regulated financial advice. Look-through weights and valuations are approximate (mid-2026 index data) and should be checked against current factsheets; scenario returns are illustrative assumptions. Consider a regulated adviser for tax-wrapper specifics.